

Standard Chartered

Translating growth into profitability

Reiterate Rating: NEUTRAL | PO: 227.00 HKD | Price: 210.60 HKD

Investor seminar: confident messaging

Standard Chartered management presented its new medium-term targets in the May investor seminar. Key headlines include (i) 2028 ROTE of >15%, 2030 ROTE of c.18%, (ii) 2025-2028 revenue CAGR of 5-7%, (iii) 2028 cost income ratio of c.57%. While the headline 2028 ROTE target is broadly in line with consensus, we think there is upside potential, particularly to revenue and impairments given the strong structural trends highlighted by local management. We forecast a 16% ROTE for 2028, supported by revenue CAGR c.7% (top end of guidance); the stock is trading at c.1.5x 2026e P/TBV, versus the sector expected to reach c.18% ROTE in 2028 trading at similar valuations. We reiterate our Neutral rating but increase our PO to HKD227.00 (from HKD209.80) reflecting higher profit estimates.

Revenue upside potential from wealth as well as CIB

Wealth has been an important driver for revenue growth in the past three years, and we expect the strong trends to continue given ongoing asset diversification demand from Chinese residents. In addition, we also see upside to CIB revenues, particularly versus consensus expectations, which is only expecting mid-single-digit CAGR. While CIB revenue streams are typically lumpier in nature, the structural trends are supported by policy – with RMB internationalisation and accelerating Chinese companies ‘going global’ now seen as national security priorities.

Cost guidance positive; growth may require more capital

We noted in our preview last month that further upside could come from cost and capital optimisation. We appreciate the new cost target of c.57% cost income ratio in 2028, which would be a step change in cost efficiency. On capital, the new guidance on capital allocation (broadly one-third each for dividends, buybacks, and growth) implies that more capital may be needed than expected to support growth. While we do not dispute the logic of allocating capital to capture growth, ROTE growth should be slower than otherwise and total cash yield lower.

Estimates (Dec) (US\$)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	5,565	6,424	5,293	6,190	6,780
EPS	2.19	2.75	2.40	2.91	3.28
EPS Change (YoY)	30.8%	25.8%	-12.8%	21.2%	12.8%
Consensus EPS (Visible Alpha)			2.26	2.75	3.16
Dividend / Share	0.37	0.61	0.77	0.93	1.08
Adjusted NAV PS	15.41	17.30	18.12	19.62	21.35
Valuation (Dec)					
P/E	12.05x	9.57x	10.98x	9.06x	8.03x
Price / NAV	1.71x	1.52x	1.45x	1.34x	1.23x
Net Yield	1.40%	2.31%	2.91%	3.53%	4.11%

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Refer to important disclosures on page 12 to 14. Analyst Certification on page 9. Price Objective Basis/Risk on page 9.

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02 June 2026

Equity

Key Changes

(US\$)	Previous	Current
Price Obj.	HK\$209.80	HK\$227.00
2026E EPS	2.36	2.40
2027E EPS	2.80	2.91
2028E EPS	3.16	3.28

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Stock Data

Price	210.60 HKD
Price Objective	227.00 HKD
Date Established	2-Jun-2026
Investment Opinion	B-2-7
52-Week Range	119.30 HKD-211.00 HKD
Mrkt Val / Shares Out (mn)	59,199 USD / 2,203.1
Market Value (mn)	463,974 HKD
Average Daily Value (mn)	27.90 USD
Free Float	100.0%
BofA Ticker / Exchange	XCHBF / HKG
Bloomberg / Reuters	2888 HK / 2888.HK
ROE (2026E)	11.3%

CIB: Corporate and Investment Bank

ROTE: Return on tangible equity

RWA: Risk-weighted assets

TBV: Tangible book value

WRB: Wealth and Retail Banking

iQprofileSM Standard Chartered

Key Income Statement Data (Dec)

(US\$ Millions)

	2024A	2025A	2026E	2027E	2028E
Net Interest Income	11,112	11,184	11,430	11,787	12,178
Net Fee Income	NA	NA	NA	NA	NA
Securities Gains / (Losses)	NA	NA	NA	NA	NA
Other Income	8,431	9,758	11,134	12,325	13,499
Total Non-Interest Income	8,431	9,758	11,134	12,325	13,499
Total Operating Income	19,543	20,942	22,564	24,112	25,677
Operating Expenses	(12,502)	(13,304)	(13,363)	(13,814)	(14,544)
Pre-Provision Profit	7,041	7,638	9,201	10,298	11,133
Provisions Expense	(1,135)	(737.00)	(1,118)	(922.12)	(943.51)
Operating Profit	NA	NA	NA	NA	NA
Non-Operating Income	108.00	62.00	(10.00)	(10.00)	(10.00)
Pre-Tax Income	6,014	6,963	8,073	9,366	10,179
Net Income to Comm S/Hold.	3,593	4,558	5,293	6,190	6,780
Adjusted Net Income (Operating)	5,565	6,424	5,293	6,190	6,780

Key Balance Sheet Data

Total Assets	849,688	919,955	999,524	1,020,137	1,041,341
Average Interest Earning Assets	539,338	550,930	580,220	630,311	651,219
Weighted Risk Assets	247,065	258,031	271,235	285,827	301,382
Total Gross Customer Loans	285,936	290,849	302,039	311,144	320,495
Total Customer Deposits	464,489	530,161	558,487	580,843	604,155
Tier 1 Capital	41,672	43,949	44,089	45,859	48,264
Tangible Equity	38,597	40,362	40,711	42,569	45,032
Common Shareholders' Equity	44,388	46,593	47,216	49,273	51,940

Key Metrics

Net Interest Margin	2.06%	2.03%	1.97%	1.87%	1.87%
Tier 1 Ratio	16.9%	17.0%	16.3%	16.0%	16.0%
Effective Tax Rate	32.8%	26.8%	27.0%	27.5%	27.5%
Loan / Assets Ratio	33.1%	31.2%	29.8%	30.1%	30.4%
Loan / Deposit Ratio	60.5%	54.1%	53.4%	52.9%	52.4%
Oper Leverage (Inc Growth - Cost Growth)	0.2%	0.7%	7.3%	3.5%	1.2%
Gearing (Assets / Equity)	19.1x	19.7x	21.2x	20.7x	20.0x
Tangible Common Equity / Assets	4.5%	4.4%	4.1%	4.2%	4.3%
Tangible Common Equity / WRAs	15.6%	15.6%	15.0%	14.9%	14.9%
Revenue Growth	8.5%	7.2%	7.7%	6.9%	6.5%
Operating Expense Growth	8.2%	6.4%	0.4%	3.4%	5.3%
Provisions Expense Growth	-25.1%	-35.1%	51.6%	-17.5%	2.3%
Operating Revenue / Average Assets	0.7%	0.8%	0.8%	0.9%	1.0%
Operating Expenses / Average Assets	-1.5%	-1.5%	-1.4%	-1.4%	-1.4%
Pre-Provision ROA	0.8%	0.9%	1.0%	1.0%	1.1%
ROA	0.4%	0.5%	0.6%	0.6%	0.7%
Pre-Provision ROE	15.9%	16.8%	19.6%	21.3%	22.0%
ROE	8.1%	10.0%	11.3%	12.8%	13.4%
RoTE	15.1%	16.9%	13.6%	15.4%	16.0%
RoWRAs	8.0%	8.3%	8.5%	8.7%	8.7%
Dividend Payout Ratio	16.9%	22.2%	32.0%	32.0%	33.0%
Efficiency Ratio	64.0%	63.5%	59.2%	57.3%	56.6%
Headline Cost/Income Ratio	NA	NA	NA	NA	NA
Total Non-Interest Inc / Operating Inc	57%	53%	51%	49%	47%
Market-Related Revenue / Total Revenues	0%	0%	0%	0%	0%
Provisioning Burden as % of PPP	16.1%	9.6%	12.1%	9.0%	8.5%
NPLs plus Foreclosed Real Estate / Loans	NA	NA	NA	NA	NA
Loan Loss Reserves / NPLs	79.1%	68.1%	65.6%	63.7%	61.8%
Loan Loss Reserves / Total Loans	1.7%	1.4%	1.4%	1.3%	1.3%
Provisions Expense / Average Loans	0.4%	0.3%	0.4%	0.3%	0.3%

Other Metrics

Income / Employee	NA	NA	NA	NA	NA
(Operating Expenses) / Employee	NA	NA	NA	NA	NA
Pre-Provision Profit / Employee	NA	NA	NA	NA	NA
Net Profit / Employee	NA	NA	NA	NA	NA

Company Sector

Banks-Multinational/Universal

Company Description

Standard Chartered is headquartered in London, but its major operations are in Asia and Africa, with a diverse footprint within these continents. Standard Chartered has three main divisions, including Wealth and Retail Banking, Corporate and Institutional Banking, and Ventures. The shares are listed in both London and Hong Kong in a dual primary listing.

Investment Rationale

We rate Standard Chartered Neutral. We expect Wealth growth to remain strong, and management has been successful in terms of creating differentiated products that are highly valued by their target customers. There is potential downside on NII in a falling US rate environment. We also see downside risk to cost, particularly below the line. Shares are not expensive, but also not obviously cheap versus the sector.

Stock Data

Price to Book Value

1.2x



2028 targets in line with our base case

Standard Chartered provided detailed medium-term guidance at the investor seminar. For 2028, the headline includes the following which were broadly in line with our expectations pre event.

- (i) Income CAGR 5-7% 2025-2028,
- (ii) cost income ratio c.57% in 2028,
- (iii) 30-35bps through the cycle loan loss rate,
- (iv) >15% ROTE in 2028,
- (v) capital allocation about one third each for dividend, buyback and growth.

We note that management also guided to c.18% ROTE in 2030.

Upside potential from revenue, impairment, strong cost message

In our preview of the event (see the report, [Standard Chartered: High teens ROTE a possibility medium term 06 May 2026](#)), we outlined a bull case that could take ROTE to high teens in 2028 – in our view, the upside could come from (i) revenue, (ii) cost, and (iii) impairment.

CIB upside potential to consensus at 4-5% CAGR – structural trends accelerating

While wealth remains a key growth engine, it is relatively well understood by the market – with consensus already pricing in around mid-teens Wealth fee income CAGR in 2025-2028. We do think there could be upside (given Q126 was up >30% year on year), but clearly with an ever-increasing base, >20% CAGR would be incrementally more difficult, versus a backdrop of c7-9% wealth assets CAGR in Asia, according to the latest BCG Global Wealth Report.

Consensus, however, appears more conservative on the CIB side (Visible Alpha consensus suggests income growth CAGR of c.4-5% 2025-2028) and does not appear to be fully factoring in the structural opportunities. The Chinese government is increasingly focusing on (i) supporting high-quality Chinese enterprises ‘going global’ and (ii) accelerating RMB internationalisation. Hong Kong should play a key part in both, as it is already the largest offshore RMB centre and has unique strengths in internationalisation and global networks.

RMB markets revenue – progressing on to the next billion

RMB internationalisation has been a theme in the making for over a decade. However, the policy focus on it has significantly increased in recent years, in part because of heightened geopolitical tensions. State media now talks of it as a matter of national security priority.

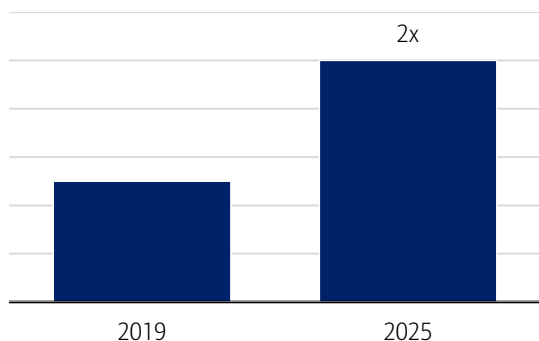
Further adoption of the RMB as a trade currency in the long run would likely require greater availability of RMB-denominated financial products. As such, we would expect RMB bond issuance to continue increasing.

In the last six years, related income at Standard Chartered has already doubled, and we expect ongoing policy support for this to continue translating into revenue opportunities.



Exhibit 1: RMB Global Markets income, 2019-2025

From a “rounding error” to half a billion mark and on to the next billion

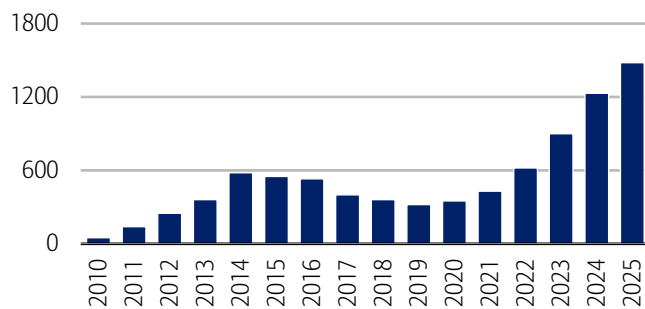


Source: Investor presentation, May-26

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Exhibit 2: CNH bond market, RMB bn

Since end-2021, the size of the CNH bond market has more than tripled to reach RMB1.5trn



Source: Bloomberg, BofA Global Research

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Chinese companies going global – multi-faceted opportunity

The government is also focused on supporting high-quality mainland enterprises going global, as evidenced by the ‘Go Global Task Force’ – which aims to set up a one-stop platform that fully leverages Hong Kong’s advantages in internationalisation and global.

There are many channels where these revenue opportunities could come through – on the capital markets side, this could be manifested through sustainable IPO volumes in Hong Kong but could also come through via higher cross-border hedging and treasury demands.

Standard Chartered management has made it a priority to strengthen its ‘go-global’ proposition, which includes the following:

- Deepen coverage and sector expertise, with a focus on targeting New Economy sectors.
- Monetise revenue opportunities adjacent to IPOs – IPO receiving bank, cash management, margin financing, structured products.
- Institutionalise integrated one-bank proposition across CIB and WRB.

Guidance implies Global Banking and Markets growth at least high single digits

While not guiding directly on Global Banking and Markets revenue growth, we note two pieces of supplementary guidance: (i) income return on RWA expected to be above 2025 levels by 2028 and (ii) 1/3 of capital generated expected to be allocated to business growth. CIB consumed around two-thirds of total RWAs as at 2025 – and with Wealth and Retail Banking likely continuing a more capital-light growth path, we expect CIB fee income (where Global Banking and Global Markets are key contributors) to grow by at least high single digits in 2026-2028.

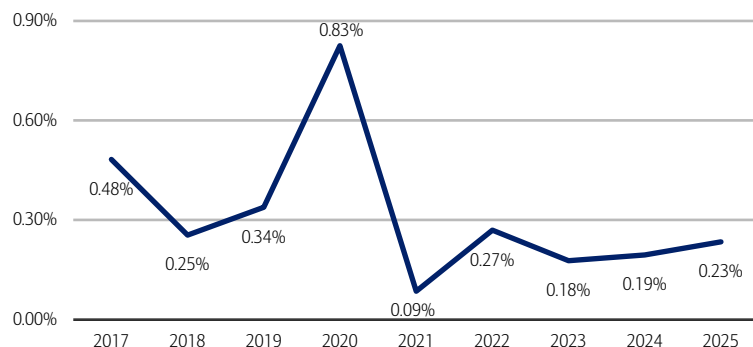
Impairment – caution built in as expected, but outturn likely more benign

We continue to think that a lower loan loss rate will likely come through in the next couple of years – even though understandably management did not want to guide aggressively on it in the context of the ongoing Middle East conflict.

Like most other European banks, Standard Chartered has printed loan loss rates much lower than its historical through-the-cycle range (30-35bps) in recent years. Other than in 2020, when modelled impairments were elevated due to Covid, the loan loss rate has not been above 35bps since 2018; in fact, in the last four years, it has averaged c.20bps.

Exhibit 3: Standard Chartered loan loss rate, 2017-2025

Loan loss rate has not been above 35bps since 2018, other than during Covid



Source: Company reports

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In our forecasts we assume a loan loss rate of c.28bps for 2027-2028 and see further upside potential, particularly if the Middle East conflict resolves in the near future.

Cost – firm cost commitment, productivity enhancement main driver

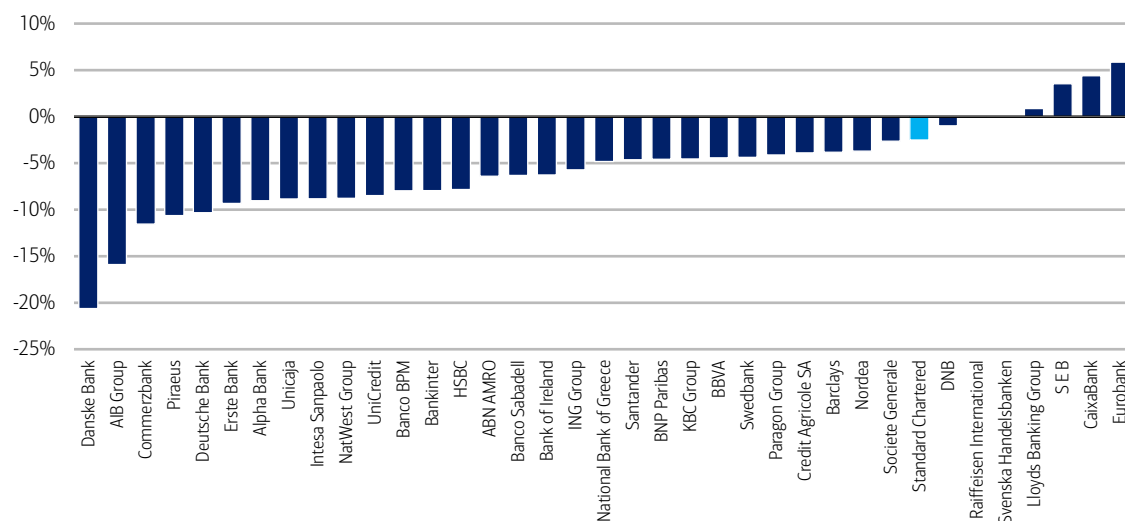
Management provided a confident message on cost, including c.20% increase in income per employee by 2028 and >15% reduction in corporate functions headcount by 2030 (equivalent to c.8,000 roles). This should support a cost income ratio target of c.57% by 2028.

On an all-in cost basis, including restructuring but excluding notable items, cost increased by 6-7% in the last couple of years. Cost income ratio was broadly unchanged at c.63-64% since 2023 and only reduced slightly vs 66% in 2022. At the sector level, most banks saw cost income ratio falling by c.6% between 2022 and 2025.

A 57% cost income ratio would represent a step change in its cost efficiency and bring it closer to peers.

Exhibit 4: Cost income ratio, FY22-25

On average, European banks reduced cost income ratio by c.6% between 2022 and 2025



Source: Company reports

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Artificial intelligence (AI) will likely play a central role in delivering the productivity enhancements. Key pipeline deliverables include the following:

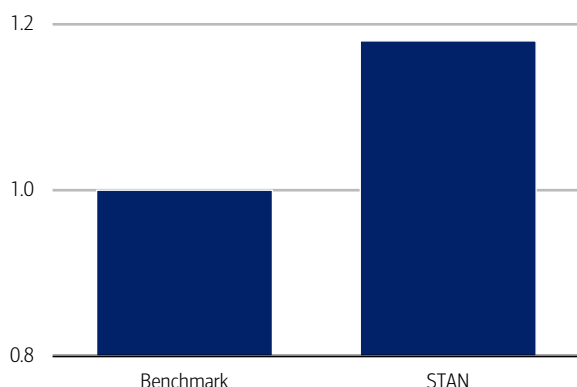
- (i) **Staff productivity in everyday work** – staff trained and actively using MS CoPilot and all relationship managers enabled with AI Advisory capabilities by end-2026.
- (ii) **AI-driven operations and processes** – the aim is to enable self-service at scale by end-2027, including 60% self-resolution for internal queries using a virtual assistant.
- (iii) **AI-driven software development** – AI-assisted engineers accelerating time to market through high-quality code, fully implemented by 2027.
- (iv) **Unified risk management and anti-crime platform** – using AI to drive resilience and productivity, fully implemented by 2027.
- (v) **Global data platform** – single, trusted data foundation to deliver consistent, high-quality data to support risk management, decision making, and compliance, fully implemented by H128.

We appreciate management's commitment to drive productivity enhancements. The AI use case is clearly something that the sector as a whole is developing, and it is not straightforward to assess a bank's 'AI-readiness' externally. However, we do think that certain investments that Standard Chartered has made in the past are likely to put it in a relatively good position to take advantage of AI-related efficiency gains. For example, it has strengthened its critical platforms in recent years, including (i) global private cloud, (ii) modern core banking platform, and (iii) global payments platform.

In addition, management's own benchmarking analysis notes that its operations and functions expenses relative to revenues continue to screen high (c.18% higher than benchmark), and AI should be a useful tool to help right size its cost base.

Exhibit 5: Operations and functions relative to revenues

Management's own benchmarking analysis suggests further opportunities for improved efficiencies in operations and functions



Source: Investor presentation, May-26

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Exhibit 6: Employee efficiency analysis

Revenue generation versus cost per employee screens less efficient for Standard Chartered

	HSBC	STAN	DBS
Total Revenue (USD \$m)	71,020	20,942	17,862
Non NII (USD \$m)	26,936	9,758	6,552
Employee number	208,720	82,000	39,983
Total staff cost (USD \$m)	21,512	9,109	4,549
Salary per employee	103,066	111,085	113,772
Revenue per employee (USD \$m)	340,264	255,390	446,740
Non NII per employee (USD \$m)	129,053	119,000	163,870
CIR per employee	30%	43%	25%
Cost to non-NII per employee	80%	93%	69%

Source: Company reports, BofA Global Research analysis

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Capital – growth may need more capital allocation

In terms of capital allocation, management guided to one-third each between dividends, buybacks, and business growth – if there were to be suitable opportunities, further capital could be re-directed from buybacks to growth. In other words, payout ratio would be at a maximum of 67%, per guidance.

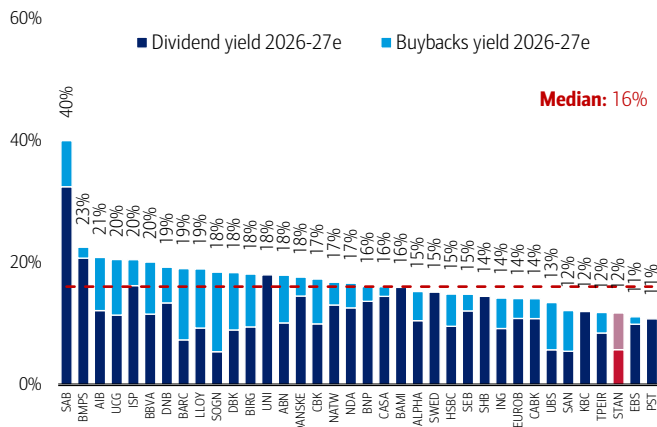
Logically, it makes sense for the bank to put capital to use given the growth opportunities available instead of returning it to shareholders. However, it does imply higher RWA growth than expected, especially in the CIB.

Total yield one of the lowest in the sector at 6-7% in 2026-2028

We acknowledge that the investment case and the growth opportunities that Standard Chartered has are different to a typical European bank. However, at the sector level, capital returns remain an important pillar to European banks' investment case. In terms of yield, Standard Chartered screens low versus the sector.

Exhibit 7: European banks total yield, 2026-2027e

Standard Chartered screens low on total returns vs the sector, at c.12% vs median 16%



Source: BofA Global Research estimates. ABN = ABN Amro. BNP = BNP Paribas. CASA = Credit Agricole. SOGN = Societe Generale. BARC = Barclays. CBK = Commerzbank. DBK = Deutsche Bank. LLOY = Lloyds. NATW = NatWest. STAN = Standard Chartered. ISP = Intesa Sanpaolo. UCG = Unicredit. BAMI = Banco BPM. BMPS = Monte dei Paschi. AIB = Allied Irish Banks. BIRG = Bank of Ireland. NDA = Nordea. SWED = Swedbank. DANSKE = Danske Bank. SHB = Handelsbanken. SAN = Santander. CABK = CaixaBank. SAB = Banco Sabadell. BKT = Bankinter. EBS = Erste Bank. PST = Poste Italiane. BFF = BFF Bank. ALPHA = Alpha Bank. EUROB = Eurobank. ETE = National Bank of Greece. TPEIR = Piraeus Bank. UNI = Unicaja.

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Estimate changes

Exhibit 8: 2026-2028 estimate changes

We increase underlying profit before tax (PBT) by 6-7% in 2027-2028, although our EPS increases are lower given lower buybacks

	2026E			2027E			2028E		
	New	Old	Change	New	Old	Change	New	Old	Change
Underlying P&L (\$m)									
Net interest income	11,430	11,430	0%	11,787	11,787	0%	12,178	12,178	0%
Non-Interest income	11,134	10,941	2%	12,325	11,716	5%	13,499	12,509	8%
Total income	22,564	22,371	1%	24,112	23,503	3%	25,677	24,686	4%
Operating costs	(13,363)	(13,363)	0%	(13,814)	(13,568)	2%	(14,544)	(14,086)	3%
Pre-provision profits	9,201	9,008	2%	10,298	9,935	4%	11,133	10,600	5%
Credit impairment	(1,073)	(1,058)	1%	(857)	(991)	-14%	(879)	(1,015)	-13%
Other impairment	(45)	(45)	0%	(65)	(65)	0%	(65)	(65)	0%
Associates and JV	(10)	(10)		(10)	(10)		(10)	(10)	
Underlying PBT	8,073	7,894	2%	9,366	8,869	6%	10,179	9,510	7%
Income exceptionals	0	0		0	0		0	0	
Cost exceptionals	-	-		-	-		-	-	
Impairment exceptionals	-	-		-	-		-	-	
Stat profit before tax	8,073	7,894	2%	9,366	8,869	6%	10,179	9,510	7%
Tax	(2,180)	(2,131)		(2,576)	(2,439)		(2,799)	(2,615)	
Minority and prefs	(600)	(600)		(600)	(600)		(600)	(600)	
Statutory AP	5,293	5,163	3%	6,190	5,830	6%	6,780	6,294	8%
Profitability Metrics									
EPS (reported)	240	236	2%	291	280	4%	328	316	4%
EPS (underlying)	240	236	2%	291	280	4%	328	316	4%
Stat ROTE	13.7%	13.4%	0.3%	15.4%	14.8%	0.7%	16.0%	15.4%	0.7%
Underlying ROTE	13.7%	13.4%	0.3%	15.4%	14.8%	0.7%	16.0%	15.4%	0.7%
Key balance sheet items (\$m)									
Loans and advances to customers	297,978	297,978	0%	307,083	307,083	0%	316,434	316,434	0%
Tangible Equity	39,217	38,870	1%	41,075	40,167	2%	43,538	41,766	4%
TBVPS	18.12	18.20	0%	19.62	19.74	-1%	21.35	21.46	-1%
Capital and Distributions									
CET1 ratio	13.5%	13.4%	0.1%	13.4%	13.5%	0.0%	13.5%	13.6%	-0.1%
Risk Weighted Assets	271,235	271,235	0%	285,827	280,079	2%	301,382	289,253	4%
DPS (c)	76.8	70.7	9%	93.1	83.9	11%	108.3	94.9	14%
Buyback announced	2,000	2,500	-20%	2,000	2,750	-27%	2,200	2,750	-20%

Source: BofA Global Research estimates

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Price objective basis & risk

Standard Chartered (XCHBF)

Our primary valuation methodology is a Gordon Growth Model based on our 2027e forecast, to which we add the present value of expected dividends. With a 11% cost of equity assumption, this suggests a price to book multiple of 1.6x, reducing to 1.5x when discounted to a year from now at our cost of equity. Applying this to 2026E tangible book value of 1,812c gives a value of 2,710c pre capital return. To this we add the dividends we forecast through to 2027E (also discounted), and adjust for excess capital to the bottom end of management guidance. Using this valuation approach, we arrive at a price objective of HKD227.00

The upside risks to our PO are: 1. US rates stay higher for longer, terminal rate higher than expected, 2. further stimulus from the Chinese government, 3. Emerging Asia/ Hong Kong loan growth recovers faster than expected.

The downside risks to our PO are: 1. Loan growth remains subdued for longer, 2. Wealth Management flows slow as competition intensifies in the market, 3. Global trade flows reduce more than expected with higher tariffs.

Analyst Certification

I, Emma Xu, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

Greater China - Financials Coverage Cluster

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BUY				
	AIA Group Limited	AAIGF	1299 HK	Michael Li
	Bank of Chengdu	XBCQF	601838 CH	Wenqing Han, CFA
	Bank Of Communications Co-A	XNCTF	601328 CH	Winnie Wu
	Bank of Hangzhou	XBHCF	600926 CH	Wenqing Han, CFA
	Bank of Jiangsu	XBJCF	600919 CH	Wenqing Han, CFA
	Bank of Ningbo	XBINF	002142 CH	Wenqing Han, CFA
	Cathay FHC	XCIF	2882 TT	Michael Li
	China CITIC Bk	CHBJF	998 HK	Emma Xu
	China Construction Bank	CICF	939 HK	Winnie Wu
	China Construction Bank -A	XCTBF	601939 CH	Winnie Wu
	China Galaxy Securities Co Ltd	XCXYF	601881 CH	Susie Liu, CFA
	China Industrial Bank Co. Ltd.	INBLF	601166 CH	Emma Xu
	China International Capital Corporation	CNICF	3908 HK	Susie Liu, CFA
	China Life Insurance	CLJF	2628 HK	Michael Li
	China Merchants Securities	XMRKF	600999 CH	Susie Liu, CFA
	China Merchants Securities	CHMSF	6099 HK	Susie Liu, CFA
	China Pacific Insurance Group	CHPXF	2601 HK	Michael Li
	China Securities Corp	CSCFF	6066 HK	Susie Liu, CFA
	Chongqing Rural Commercial Bank	COGQF	3618 HK	Wenqing Han, CFA
	Chongqing Rural Commercial Bank - A	XCRQF	601077 CH	Wenqing Han, CFA
	CITIC Securities	CIHF	6030 HK	Susie Liu, CFA
	CITIC Securities -A	CIISF	600030 CH	Susie Liu, CFA
	CTBC FHC	CTFHF	2891 TT	Susie Liu, CFA
	E.Sun FHC	ESUFF	2884 TT	Michael Li
	Fubon FHC	FUISF	2881 TT	Michael Li
	Futu Holdings	FUTU	FUTU US	Emma Xu
	FWD Group	XFGVF	1828 HK	Michael Li
	GF Securities	GFSEF	1776 HK	Susie Liu, CFA
	GF Securities	XMPQF	000776 CH	Susie Liu, CFA
	Guolian Minsheng Securities	XLTYF	601456 CH	Susie Liu, CFA
	Guotai Haitong Securities	GUOSF	2611 HK	Susie Liu, CFA



Greater China - Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Guotai Haitong Securities-A	XOQOF	601211 CH	Susie Liu, CFA
	Hithink Royalfush	XHIFF	300033 CH	Susie Liu, CFA
	HKEX	HKXCF	388 HK	Michael Li
	HSBC	XHSBF	5 HK	Emma Xu
	Huatai Securities	XHTLF	601688 CH	Susie Liu, CFA
	Huatai Securities	HUATF	6886 HK	Susie Liu, CFA
	Ind & Comm BK	IDCBF	1398 HK	Winnie Wu
	Ind & Comm BK -A	XIKNF	601398 CH	Winnie Wu
	PICC Group	PINXF	1339 HK	Michael Li
	PICC Property & Casualty	PPCCF	2328 HK	Michael Li
	Ping An Bank	XPABY	000001 CH	Emma Xu
	Ping An Insurance	PIAIF	2318 HK	Michael Li
	Ping An Insurance	XPSPF	601318 CH	Michael Li
	UP Fintech Holding	TIGR	TIGR US	Emma Xu
	ZhongAn Online P&C Insurance	ZZHGF	6060 HK	Michael Li

NEUTRAL

	Agricultural Bank of China	ACGBF	1288 HK	Winnie Wu
	Bank Of China	BACHF	3988 HK	Winnie Wu
	Bank Of China -A	BACZF	601988 CH	Winnie Wu
	Bank of Comm	BKFCF	3328 HK	Winnie Wu
	Bank of Nanjing	XBNMF	601009 CH	Wenqing Han, CFA
	Bank of Suzhou	XCZIF	002966 CH	Wenqing Han, CFA
	BOC Hong Kong Holdings Ltd	BNKHF	2388 HK	Winnie Wu
	Chailease	XCAHZ	5871 TT	Susie Liu, CFA
	China Galaxy Securities Co Ltd	CGXYF	6881 HK	Susie Liu, CFA
	China Intl Capital Corp - A	XCCIF	601995 CH	Susie Liu, CFA
	Jiangsu Changshu Rural Commercial Bank	XBJTF	601128 CH	Wenqing Han, CFA
	Postal Savings Bank of China - A	XPSSF	601658 CH	Winnie Wu
	Qfin Holdings	QFIN	QFIN US	Emma Xu
	Qfin Holdings	QFNHF	3660 HK	Emma Xu
	Standard Chartered	XCHBF	2888 HK	Emma Xu

UNDERPERFORM

	Agricultural Bank Of China-A	XACNF	601288 CH	Winnie Wu
	Bank of E Asia	BKEAF	23 HK	Emma Xu
	Bank of E Asia-A	BKEAY	BKEAY US	Emma Xu
	BOC International (China)	XLFTF	601696 CH	Susie Liu, CFA
	China CITIC Bk -A	CHCKF	601998 CH	Emma Xu
	China Everbright Bank	CEBCF	6818 HK	Emma Xu
	China Everbright Bank	XCBLF	601818 CH	Emma Xu
	China Life Insurance	XCNNF	601628 CH	Michael Li
	China MERCH BK -A	CIHKF	600036 CH	Winnie Wu
	China Merchants Bank	CIHHF	3968 HK	Winnie Wu
	China Minsheng Banking Corp Ltd	CGMBF	1988 HK	Emma Xu
	China Minsheng Banking Corp Ltd -A	CMAKF	600016 CH	Emma Xu
	China Pacific Insurance Group	XCJNF	601601 CH	Michael Li
	China Securities Corp	XCSIF	601066 CH	Susie Liu, CFA
	New China Life	NWWCF	1336 HK	Michael Li
	New China Life	XNWCF	601336 CH	Michael Li
	Orient Securities	XOBNF	600958 CH	Susie Liu, CFA
	Orient Securities	XONQF	3958 HK	Susie Liu, CFA
	PICC Group	XPIDF	601319 CH	Michael Li
	Postal Savings Bank of China	PSBKF	1658 HK	Winnie Wu
	Shanghai Pudong Dev Bank	SHVPF	600000 CH	Emma Xu
	Shanghai Rural Commercial Bank	XQZAF	601825 CH	Wenqing Han, CFA

RVW

	Lufax Holding	LU	LU US	Emma Xu
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iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

$\text{NOPAT} = (\text{EBIT} + \text{Interest Income}) \times (1 - \text{Tax Rate}) + \text{Goodwill Amortization}$

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

$\text{EV} = \text{Current Share Price} \times \text{Current Shares} + \text{Minority Equity} + \text{Net Debt} +$

Other LT Liabilities

Enterprise Value

Denominator

$\text{Total Assets} - \text{Current Liabilities} + \text{ST Debt} + \text{Accumulated Goodwill}$

Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

$\text{Market Cap} = \text{Current Share Price} \times \text{Current Basic Shares}$

Sales

Basic EBIT + Depreciation + Amortization

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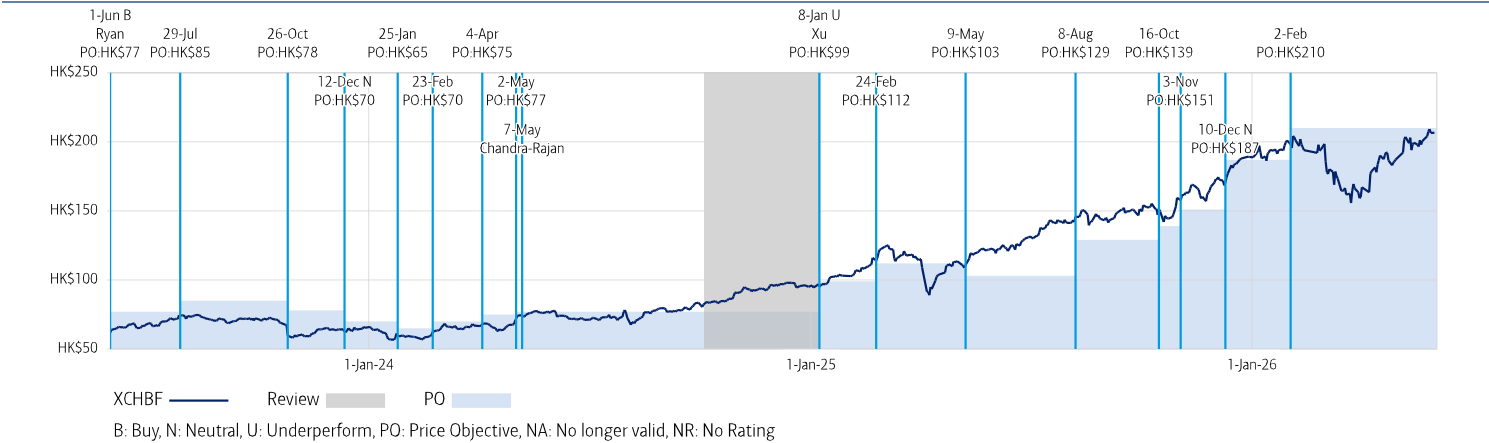
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Equity Investment Rating Distribution: Banks Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	117	53.42%	Buy	98	83.76%
Hold	59	26.94%	Hold	47	79.66%
Sell	43	19.63%	Sell	35	81.40%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

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